

Multidimensional Signaling and the Rise of Cultural Politics

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Discussion by

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Core Message

Question: Why has cultural politics risen?

Answer: Even if voters care more about economic than cultural issues, politicians signal using cultural rhetoric when economic signals are noisier than cultural ones

Methodological: tractable multidim signaling model
via binary types, Gaussian signals, quadratic utility/costs

Simplified Model

- Two candidates (R, D), each with type $t^i \in \{N, E\}$ (unif prior)
 - ideal points $b^N, b^E \in \mathbb{R}^n$
- Each candidate chooses rhetoric $q^i \in \mathbb{R}^n$
 - voter sees $s^i = q^i + \xi^i$, $\xi_k^i \sim \mathcal{N}(0, \sigma_k^2)$
- Voter has quadratic loss utility with random ideal point $v \in \mathbb{R}^n$
 - assume $\Pr(\text{voter prefers } b^N \text{ to } b^E) > 1/2$
- Candidate i utility: $W \cdot \mathbf{1}\{i \text{ wins}\} - \|p - b^{t^i}\|^2 - \|q^i - b^{t^i}\|^2$
 - no commitment, so elected candidate i chooses $p = b^{t^i}$

The Main Result

Normal updating and 2 types $\implies$ posterior comparison depends only on 1-dim statistic:

$$\sum_k (q_k^N - q_k^E)(s_k^R - s_k^D)/\sigma_k^2$$

$\rightarrow$ FOC: $q_k^t - b_k^t = (b_k^N - b_k^E)\lambda/(2\sigma_k^2)$, with **Lag multiplier** $\lambda \downarrow$ in $\sum_k (b_k^N - b_k^E)^2/\sigma_k^2 =: \Lambda$

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Intuition: choose how much to shift voter's posterior, then "buy" it at least rhetorical cost

Lower σ_k makes dimension k a better signaling instrument

$\rightarrow$ voter can now infer type more easily $\implies \lambda \downarrow$

$\rightarrow$ for dimension $l \neq k$, only change is through $\lambda \implies$ signaling falls: $|q_l^t - b_l| \downarrow$

$\rightarrow$ for k itself, $\lambda \downarrow$ but $1/\sigma_k^2 \uparrow \implies$ effect on $|q_k^t - b_k|$ ambiguous

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Suggestion: $\sigma_k \downarrow \implies |q_k^t - b_k^t|/|q_l^t - b_l^t| \uparrow$, i.e., unambiguous $\uparrow$ of **relative** signaling on k

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Such a tractable signaling model! Paper has lots of interesting comparative statics.

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I'll focus comments on a couple of interpretive issues

“... The **rise** of **cultural** politics”

and two other points: signaling costs + welfare.

“Cultural”

(a) What is the unpopular type?

- Model: E is just the type whose policy voters are less likely to prefer—nothing more
- Prose: “elite-capture” / “susceptibility to special interests”
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(b) Cross-dimensional type correlation:

- Culture can signal economics only if $b^N - b^E$ has both economic and cultural components
 - Would be worth emphasizing that this is key (empirically right)
 - Also discuss more party differences of economic elite vs cultural directions?
e.g., Wall Street Rep vs. Silicon Valley Dem: both “elite,” but differently

“Rise”

Paper's claim: economic rhetoric has become harder to parse

But note: σ_k is not voter knowledge of issue k ; it is noise in mapping rhetoric on k into candidate type/policy

Economics may be technical and complex

But culture can also be coded, audience-specific, and deniable

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“Rise”: why did the relative return to cultural signaling increase?

$$\sigma_e^2 \uparrow, \quad \sigma_c^2 \downarrow, \quad \beta_c \downarrow, \quad |\Delta_c| \uparrow, \dots$$

Section 4.3 chooses $\sigma_e^2 \uparrow$. Microfoundation or evidence for that shift?

Cost specification

For the positive Prop. 4 logic, the key object is local marginal cost of rhetorical distortion.

I think basic logic should be robust to allowing ex-post policy to vary with rhetoric (for eg)

With separable locally quadratic costs,

$$C(q, b^t) \approx \frac{1}{2} \sum_k H_{kk} (q_k - b_k^t)^2,$$

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But microfoundations matter for welfare:

- Pure signaling cost: rhetoric informs voters but does not move policy
- Partial commitment: rhetoric may discipline implemented policy

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Not obvious that cultural signaling hurts voters:

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More discussion of, eg: when does the cultural-politics equilibrium lower voter welfare relative to a no-cultural-signal or no-rhetoric benchmark?

Smaller Things — for Authors Only

- Assumption 1: convexity of individual problem $\neq$ uniqueness of PBE
→ uniqueness claim needs a separate argument or refinement
- I wasn't sure whether Prop 2 is assuming symmetric eqm or not
- More discussion/handholding with regular tetrahedron assumption would be valuable
→ basically gives you enough symmetry
- Section 6 robustness: linear-transformation + projection arguments
→ equilibrium of projected game $\neq$ projection of original equilibrium